

CaseArena Practice Case

Case Type: Profitability Difficulty: Medium Industry: Consumer Retail

Prompt

Our client, BrightBrew Coffee Co., operates a chain of 120 coffee shops across the Midwest. Over the past two years, despite stable revenue, the client's operating profit has declined by nearly 30%. The CEO has asked us to identify the root causes of the decline and recommend how to restore margins within 12 months.

Guidance for the Candidate

Take a moment to structure your approach before diving into the data. Consider:

- Revenue drivers: price, volume, and mix across the store network
- Cost drivers: COGS, labor, occupancy, and overhead
- External factors: competition, input costs, and macro trends

Exhibit 1 -- Financial Summary (\$ millions)

	Year 1	Year 2	Year 3
Revenue	180	182	184
COGS	63	68	75
Gross Profit	117	114	109
Operating Expenses	72	76	83
Operating Profit	45	38	26

Exhibit 2 -- Store-Level Metrics

	Year 1	Year 2	Year 3
Avg. daily txns/store	410	405	395
Avg. ticket size (\$)	5.80	5.95	6.05
Number of stores	115	118	120

Suggested Framework (check after attempting your own structure)

1. Revenue: store count grew (+5) and ticket size grew (+4%), but average daily transactions per store fell (~4%) -- traffic softness, not pricing.
2. Costs: COGS as a % of revenue rose from 35% to 41% -- check input cost inflation (coffee beans) and portion/waste. Opex grew faster than revenue too -- check labor cost per store and new-store overhead drag.
3. Likely root cause: rising input costs plus overhead from rapid store expansion, only partly offset by price increases, while underlying traffic per store is softening -- likely competition or saturation.
4. Directions to explore: renegotiate supplier contracts / hedge bean prices, evaluate underperforming new stores, test targeted promotions to rebuild traffic, review labor scheduling efficiency.

This is a seeded practice case for the CaseArena MVP demo (Module 2: Account Management & Case Repository). Original content written for demo/testing purposes only -- not sourced from any published casebook.